

Kotak Mahindra Bank Ltd

Investment Rating : Average

Company Overview

Website	https://www.kotak.com/en/home.html
Sector	nan
Market Cap	430,223.52 Cr
PE Ratio	32.9
PB Ratio	1.15
Dividend Yield	1.51 %

Financial Quality

ROE	15.1
ROCE	7.86
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Balanced

Capital Allocation

Capital Score	65.0
Reinvestment	Balanced
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

Kotak Mahindra Bank is a diversified financial services group providing a wide range of banking and financial services including Retail Banking, Treasury and Corporate Banking, Investment Banking, Stock Broking, Vehicle Finance, Advisory services, Asset Management, Life Insurance and General Insurance.[1]

Strengths

Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
Return on equity improving for 3 consecutive years shows strengthening business quality.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Debt-to-equity ratio of 4.00 is elevated for a non-financial company and warrants monitoring.
Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations.
Rising debt over the past 3 years suggests increasing financial leverage risk.
Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.
Net debt exceeding three times operating profit indicates elevated financial leverage.